

business is good enough, the fact that its stock has already moved up doesn't mean that there can't still be plenty of room left to climb.

INTERNATIONAL GAME TECHNOLOGY

International Game Technology is now the world's leading maker of slot machines, but back in 1988, when I first bought it, it was, on the whole, a broken-down company. No Wall Street analyst had anything good to say about it. It was considered a low-growth capital goods supplier to a cyclical industry. The stock was cheap, a value play for sure.

But a bit of homework convinced me that gambling was going to be a very good business around the world. Beyond that, new owners had just taken over International Game, and they were transforming the company. From a maker of routine mechanical slot machines, IGT was turning into the creator of high-tech electronic slots that require almost no maintenance and allow casinos to hook up machines (so they can offer "Megabucks" jackpots), add lottery components, and introduce other novel games. The company hadn't just improved on its old machines; it had introduced something excitingly new.

I paid roughly the current equivalent of \$1 a share, which was about ten times International Game's trailing twelve months' earnings. Then the earnings went up ten times and the P/E went up four times, and I ended up with forty times my original money. By the time the stock reached its high of \$40 in 1993, it had most definitely turned into a growth stock. Eventually, gambling issues went from craze-of-the-day to so-what-else-is-new stocks, and the P/E dropped in half.

Making forty times your money is a very pleasant experience. I highly recommend it.

Investing in small companies is a little like baseball. Whenever you come up to bat, you always hope for a grand slam. Babe Ruth